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MOTION

TO COMPEL ARBITRATION

Moving Party: Defendant Quixote

Studios, LLC (DLA Piper, LLP)

Responding Party: Plaintiff Eric Brown (Moon Law Group, PC)

Ruling: Motion to compel

arbitration is DENIED.

This is a wage and hour putative class and Private Attorneys General Act (PAGA) action. Plaintiff Eric Brown (Plaintiff) alleges that he and others were employed by defendant Quixote Studios, LLC (Defendant), during which employment Defendant committed various violations of labor law. Defendant moves to compel Plaintiff to submit his individual claims pursuant to an arbitration agreement contained in a collective bargaining agreement (the CBA) Plaintiff is purportedly bound by.

LEGAL STANDARDS

Code of Civil Procedure section 1281.2 states,
in relevant part:¿

On petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party thereto refuses to arbitrate such controversy, the court shall order the

petitioner and the respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists....¿

“There is no public policy favoring arbitration of disputes which the parties have not agreed to arbitrate.” (Engineers & Architects Assn. v. Community Development Dept.¿(1994) 30 Cal.App.4th 644, 653.) On the other hand, once an enforceable arbitration agreement has been found, “[d]oubts as to whether an arbitration clause applies to a particular dispute are to be resolved in favor of arbitration[,]” and the law favors such agreements. (Vianna v. Doctors’ Management Co.¿(1994) 27 Cal.App.4th 1186, 1189; see also People v. Maplebear Inc. (2022) 81 Cal.App.5th 923, 930-931.)¿ ¿¿

“The petitioner bears the burden of proving the existence of a valid arbitration agreement by the preponderance of the evidence, and a party opposing the petition bears the burden of proving by a preponderance of the evidence any fact necessary to its defense. In these summary proceedings, the trial court sits as a trier of fact, weighing all the affidavits, declarations, and other documentary evidence, as well as oral testimony received at the court's discretion, to reach a final determination.” (Giuliano v. Inland Empire Personnel, Inc.¿(2007) 149 Cal.App.4th 1276, 1284.)¿¿ The movant may bear its initial burden “by attaching a copy of the arbitration agreement purportedly bearing the opposing party's signature.” (Iyere v. Wise Auto Group (2023) 87 Cal.App.5th 747, 755 (Iyere); Espejo v. Southern California Permanente Medical Group (2016) 246 Cal.App.4th 1047, 1060.) “At this step, a movant need not ‘follow the normal procedures of document authentication’ and need only ‘allege the existence of an agreement and support the allegation as provided in [Rules of Court, Rule 3.1330].’” (Iyere, supra, 87 Cal.App.5th at 755; Condee v. Longwood Management Corp. (2001) 88 Cal.App.4th 215, 219 (Condee).)

“The party opposing arbitration has the burden of demonstrating that an arbitration clause cannot be interpreted to require arbitration of the dispute. Nonetheless, this policy does not override ordinary principles of contract interpretation. The contractual terms themselves must be carefully examined before the parties to the contract can be ordered to arbitration: Although [t]he law favors contracts for arbitration of disputes between parties, there is no policy compelling persons to accept arbitration of controversies which they have not agreed to arbitrate.” (Rice

v. Downs (2016) 247 Cal.App.4th 1213, 1223, citations and quotations omitted.)

“A party seeking to enforce an arbitration agreement has the burden of showing FAA preemption.” (Lane v. Francis Capital Management, LLC (2014) 224 Cal.App.4th 676, 687; see also Nixon v. AmeriHome Mortgage Company, LLC (2021) 67 Cal.App.5th 934, 946 [“The party seeking to enforce the arbitration agreement also bears the burden of establishing the FAA applies and preempts otherwise governing provisions of state law or the parties’ agreement.”].)

DISCUSSION

It is undisputed that at all pertinent times, Plaintiff was a member of the International Brotherhood of Teamsters, Local 399 (Local 399 or the Union). Local 399 has several collective bargaining agreements with Defendant which were active during the class period: the 2021 Local 399 Drivers Agreement (which the parties call the Black Book), the Local 399 Black Book Memorandum of Agreement for 2024-2027 (the Black Book MOA), and the Commercial Drivers Local 399 Quixote Agreement 2024 (the Commercial Drivers/Quixote MOA). The parties apparently agree that the Black Book MOA extended and modified the Black Book for the 2024-2027 period, and that the Commercial Drivers/Quixote MOA applied the requirements of the Black Book MOA to Defendant (who was not originally among the parties to the original Black Book).

“A union representative may agree on an employee’s behalf as part of the collective bargaining process to require the employee to arbitrate controversies relating to an interpretation or enforcement of a CBA.” (Cortez v. Doty Bros. Equipment Co. (2017) 15 Cal.App.5th 1, 11 (Cortez), citing 14 Penn Plaza LLC v. Pyett (2009) 556 U.S. 247, 256-257.) Although “contractual matters under a CBA are presumed arbitrable[,]...the presumption of arbitration in a CBA does not apply to statutory violations.” (Cortez, supra, 15 Cal.App.5th at 11-12, citing Wright v. Universal Maritime Service Corp. (1998) 525 U.S. 70, 78-79.) “Thus, although a union representative in negotiating a CBA in good faith may waive the employee’s right to pursue in a judicial forum an action for a statutorily protected right

[citation], the United States Supreme Court has made clear that waiver of the right to prosecute a statutory violation in a judicial forum is only effective if it is explicit, 'clear and unmistakable.'"

(Cortez, supra, 15 Cal.App.5th at 12.) "A waiver in a collective bargaining agreement is sufficiently clear if it is found in an explicit arbitration clause." (Vasquez v. Superior Court (2000) 80 Cal.App.4th 430, 435 (Vasquez).)

Alternatively,

[a] waiver in a collective bargaining agreement may...be sufficiently clear if broad, nonspecific language in the arbitration clause is coupled with "an 'explicit incorporation of statutory antidiscrimination requirements' elsewhere in the contract. [Citation.] If another provision, like a nondiscrimination clause, makes it unmistakably clear that the discrimination statutes at issue are part of the agreement, employees will be bound to arbitrate their [state and federal statutory] claims." [Citation.] A simple agreement not to engage in acts violative of a particular statute will not suffice; the agreement must establish the intent of the parties to incorporate "in their entirety" the discrimination statutes. [Citation.] Compliance with a particular statute must be an express contractual commitment in the collective bargaining agreement.

(Vasquez, supra, 80 Cal.App.4th at 435.)

For instance, in Cortez, the CBA was sufficiently "clear and unmistakable" where it read that "'[a]ny dispute or grievance arising from this Wage Order 16[] shall be processed under and in accordance with' the arbitration procedure" in the CBA, even though the plaintiff's suit was asserted under the Labor Code, because wage orders could be enforced only through the Labor Code. (Cortez, supra, 15 Cal.App.5th at 13-14.)

Plaintiff contends that the pertinent agreements are not "clear and unmistakable" as applied to his claims. Article 7 of the Black Book makes no mention of the Labor Code, Wage Orders, or any statutory rights at all, nor any waiver of a judicial forum for those rights. It says only:

In the event of any dispute between the Union or any of the persons subject to this Agreement and the Producer with regard to wages, hours, or other conditions of employment under this Agreement, or with regard to the interpretation of this Agreement,[1] the procedure, unless otherwise specifically provided herein, shall be as follows:

[1] Any such disputes that give rise to an alleged violation of Sections 8(a)(1) and/or 8(a)(3) of the National Labor Relations Act, or in which the facts alleged would constitute such a violation, are also subject to the grievance and arbitration procedure in this Article 7.

(Nye Decl., Ex. A, p. 7.) The Black Book then describes a four-step process of dispute resolution, culminating in a demand for either expedited or ordinary arbitration. (See Id., pp. 7-12.)

The Black Book MOA contains no dispute resolution provisions of its own but simply reincorporates the provisions of the prior Black Book with certain additions or revisions.

(See Nye Decl., Ex. B, p. 1.)

Finally, the Commercial

Drivers/Quixote MOA incorporates the Black Book MOA. (See Nye Decl., Ex. C, p. 1.) On their faces, none of these agreements say

anything about statutory claims or the waiver of a judicial forum for them.

Defendant

contends that the Black Book nonetheless clearly and unmistakably requires the arbitration of statutory claims because the Black Book and Commercial Drivers/Quixote MOA “define the entire wage, overtime, meal, and working-conditions framework” of the Labor Code as contractual requirements. In other words, because the pertinent CBAs require the same things (or more) that the Labor Code requires, claims for violation of the Labor Code should be understood to be violations of the CBA and therefore subject to arbitration as “grievances.”

Vasserman v. Henry Mayo Newhall Memorial Hospital (2017) 8 Cal.App.5th 236 (Vasserman) is instructive. There, the defendant contended that Labor Code provisions did not have to be contained in the arbitration provisions, relying partly on language in the CBA providing that the employer would pay “any and all penalties provided for under this Article,

the Labor Code or the Wage Order no later than the pay period immediately following the day resulting in the penalties” and if they did not receive “any penalty called for by this article, the Labor Code, or the Wage Order the Nurse may file a Grievance” under the CBA. (Id.

at 248-249.) The Court of Appeal

rejected the defendant’s argument, reasoning that “[a]n employer’s agreement to pay a penalty required by law is not the same as a union’s agreement to waive members’ rights to a judicial forum for statutory violations.” (Id. at 249.)

Defendant’s argument is not

meritorious. A collective bargaining

agreement which makes no mention of statutory requirements at all, let alone any

waiver of a judicial forum for statutory violations, does not contain a “clear

and unmistakable” intent to arbitrate statutory claims. Defendant’s contention that the cases “do not

require rote citation of every statute” is hyperbolic. What the cases do require is that the CBA

state, clearly and unmistakably, that the statutory claims the plaintiff is

bringing will be submitted to arbitration, or contain an “express contractual

commitment” to abide by a particular statute or otherwise make it “unmistakably

clear that the...statutes at issue are part of the agreement[.]” (Vasquez, supra, 80 Cal.App.4th at

435.) They need not do that by citing

every provision of the statutes one at a time, but may do so by reference or

incorporation, as in Cortez where the CBA required arbitration of

grievances arising from Wage Order 16 (which could necessarily only be enforced

through the Labor Code, and so was a waiver of a judicial forum for those Labor

Code claims). (See Cortez, supra, 15 Cal.App.5th at 13-14.) What they may not do is simply fail to mention

them at all. It is telling that the closest language Defendant cites to an

incorporation of statutory law is a promise to renegotiate the agreement if a

provision is “affected by any legislation, decision by a court of competent

jurisdiction or governmental regulation.”

(Reply, p. 3 fn. 1, quoting Nye Decl., Ex. A, article 8, pp.

13-14.) This is not a commitment to

abide by laws incorporated into the contract, it is a commitment to negotiate

if, in the future, some unspecified law or court decision should affect the

provisions of the agreement. It does not

come close to expressing a clear and unmistakable intent to submit statutory

claims to arbitration.

As

discussed in Vasserman, the agreement to comply with legal requirements,

there to pay meal and rest period premiums, “is not the same thing as a union’s

agreement to waive members' rights to a judicial forum for statutory violations." (Vasserman, supra, 8 Cal.App.5th at 249.) Where the CBA and the Labor Code happen to require the same things, a plaintiff may choose whether to sue on the CBA or under the Labor Code. It is only if the CBA expressly waives a judicial forum for statutory claims, or explicitly incorporates statutory requirements in their entirety, such that "[c]ompliance with a particular statute [is] an express contractual commitment in the collective bargaining agreement" that the employee's statutory claims may be compelled to arbitration. (Vasquez, supra, 80 Cal.App.4th at 430.)

CONCLUSION

For the foregoing reasons, the motion is DENIED. Plaintiff to give notice.